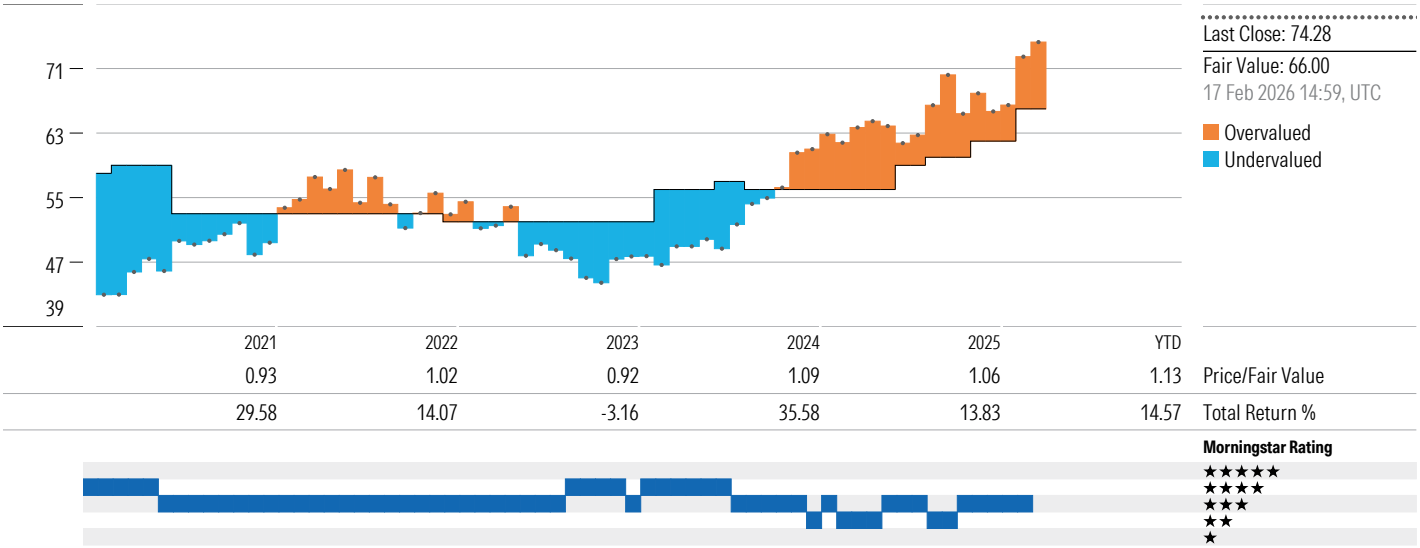
Enbridge Inc ENB ★★ 16 Mar 2026 21:51, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
74.28 CAD 13 Mar 2026	66.00 CAD 17 Feb 2026 14:59, UTC	1.13	162.85 CAD Bil 16 Mar 2026	Narrow	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.93	1.02	0.92	1.09	1.06	1.13
Total Return %	29.58	14.07	-3.16	35.58	13.83	14.57

Total Return % as of 13 Mar 2026. Last Close as of 13 Mar 2026. Fair Value as of 17 Feb 2026 14:59, UTC.

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Research Methodology for Valuing Companies

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Enbridge Earnings: Strong 2025 Finish Sets Up 2026 for Success and New Projects

Analyst Note Adam Baker, Equity Analyst, 17 Feb 2026

Enbridge reported EBITDA of CAD 5.2 billion versus PitchBook consensus of CAD 5.1 billion. Mainline optimization one (MLO1) achieved final investment decision, and we expect MLO2 will make it over the finish line. Upsized and new investments were announced across the portfolio.

Why it matters: The Venezuelan question surprised markets and caused a sharp selloff in shares before recovering all losses and then some. We do not view Venezuelan barrels as a derailing threat for the Mainline, but it may pressure upstream producers.

- Light crude will be the focus of MLO2, which would not compete directly with Venezuelan heavy crude and is more likely an export product.

The bottom line: We are increasing our fair value estimates to CAD 66/USD 49 from CAD 62/USD 44 after updating our model and incorporating the most recent results. We view shares as fairly valued, trading on the edge of 3-star territory. Our USD fair value uses a 1.36 conversion ratio.

- Our narrow moat rating, Standard Capital Allocation Rating, and Medium Uncertainty Rating remain unchanged.

Big picture: The North American energy landscape has shifted substantially, but Enbridge remains a winner across its portfolio.

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Sector
Energy

Industry
Oil & Gas Midstream

Business Description

Enbridge owns extensive midstream assets that transport hydrocarbons across the US and Canada. Its pipeline network consists of the Canadian Mainline system, regional oil sands pipelines, and natural gas pipelines. The company also operates regulated natural gas utilities in the US and Canada, including Canada's largest natural gas distribution company. The firm has a small renewable energy portfolio primarily focused on onshore and offshore wind projects.

- Worries of US shale maturity is a benefit as Canadian resources remain robust. Rising natural gas demand benefits both the transmission and storage activities.
- Finally, while we generally don't look favorably on renewable investments, the current backlog is backed by investment-grade counterparties and power purchase agreements providing greater certainty to returns. These are also supporting data centers, another major theme for the sector.

Business Strategy & Outlook Adam Baker, Equity Analyst, 17 Feb 2026

After completing the acquisition of three regional utilities, Enbridge stands as a highly diversified midstream platform with many productive avenues to deploy capital.

Enbridge's narrow-moat gas transmission segment is attracting the most capital, with multiple projects in various stages of completion. Its largest projects include expansions of the Westcoast pipeline in British Columbia and an associated liquefied natural gas, or LNG, project. The firm expects these projects will be completed in 2027 and 2028. It's also developing smaller buildouts in the US.

Gas distribution houses utilities. Enbridge is building out infrastructure in its US assets acquired from Dominion and modernizing operations in the segment. The company sees population growth and a shifting power generation mix as growth investment opportunities for gas distribution. Historically, segment returns have lagged the broader company's returns, but a new rate settlement in Canada and higher returns offered by US operations place it on better footing going forward.

Finally, new projects in the liquids pipelines segment will shore up Enbridge's asset position. Of these projects, the most notable is the Mainline, which transports crude oil from Canada to the US Gulf Coast. Enbridge is incrementally expanding the Mainline as it expects Canadian crude production to grow. Two further phases are envisioned, one which we view as likely while awaiting more concrete details on the other. Smaller investments in the Houston terminal will also boost export capacity, which we see as a strength of the business. Overall, we view investment in the segment favorably, but we expect projects there will be incremental and opportunistic.

Bulls Say Adam Baker, Equity Analyst, 17 Feb 2026

- The Mainline system is critical to the Canadian oil sector and can expand capacity more effectively than competing pipelines.
- Enbridge is highly exposed to North American natural gas demand, which we expect to grow.
- Enbridge has pursued utility-like businesses to create stable returns that can dependably increase the dividend.

Bears Say Adam Baker, Equity Analyst, 17 Feb 2026

- Enbridge owns one of the best liquids pipelines for now, but competition could heat up with new entrants like Trans Mountain.

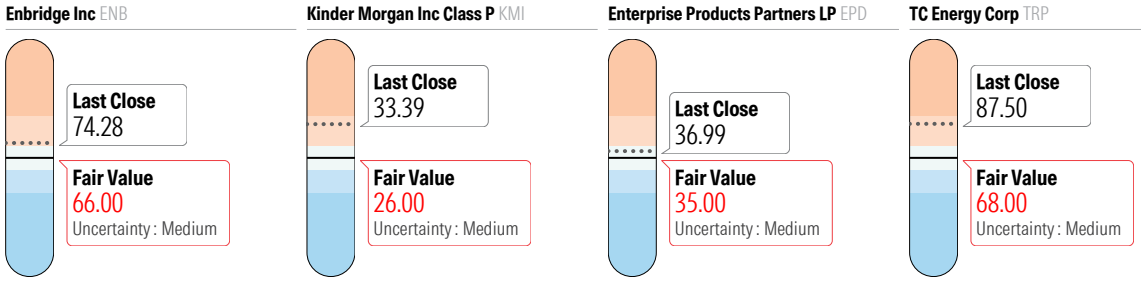
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Competitors



	Enbridge Inc ENB	Kinder Morgan Inc Class P KMI	Enterprise Products Partners LP EPD	TC Energy Corp TRP
Economic Moat	Narrow	Narrow	Wide	Narrow
Currency	CAD	USD	USD	CAD
Fair Value	66.00 17 Feb 2026 14:59, UTC	26.00 22 Jan 2026 17:35, UTC	35.00 3 Feb 2026 20:13, UTC	68.00 13 Feb 2026 19:02, UTC
1-Star Price	89.10	35.10	47.25	91.80
5-Star Price	46.20	18.20	24.50	47.60
Assessment	Fairly Valued 13 Mar 2026	Overvalued 13 Mar 2026	Fairly Valued 13 Mar 2026	Overvalued 13 Mar 2026
Morningstar Rating	★★16 Mar 2026 21:51, UTC	★★15 Mar 2026 09:47, UTC	★★★15 Mar 2026 09:41, UTC	★★15 Mar 2026 09:50, UTC
Analyst	Adam Baker, Equity Analyst	Adam Baker, Equity Analyst	Adam Baker, Equity Analyst	Adam Baker, Equity Analyst
Capital Allocation	Standard	Standard	Exemplary	Standard
Price/Fair Value	1.13	1.28	1.06	1.29
Price/Sales	2.49	4.38	1.54	5.97
Price/Book	2.92	2.38	2.69	3.64
Price/Earning	23.43	25.68	13.91	26.11
Dividend Yield	5.11%	3.50%	5.88%	3.89%
Market Cap	162.85 Bil	74.11 Bil	80.74 Bil	91.51 Bil
52-Week Range	56.51—74.66	23.94—34.24	27.77—38.22	62.17—89.68
Investment Style	Large Value	Mid Value	Mid Value	Large Value

- Canadian oil sands are subject to a carbon tax, increasing through 2030, which could negatively impact production in the long term.
- Rising interest rates could increase interest costs and make the dividend less attractive.

Economic Moat Adam Baker, Equity Analyst, 17 Feb 2026

Enbridge earns a narrow moat due to efficient scale. More than 95% of its revenue is generated under cost-of-service or regulated activities. The firm's various businesses have substantially different costs of capital, making our firmwide estimate a poor judge of individual segment moats.

Core to Enbridge's performance is its liquids pipelines segment that contains the Mainline pipeline and is responsible for 75% of Canadian crude oil exports. As liquids looks to be a mature market, we expect that limited new investment will further entrench these assets given muted competition. Enbridge's next largest segment, natural gas transmission, is attracting most of the firm's capital and likely will

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through 2030. Heavy investment in the segment will depress returns as revenue growth is tied to the completion of projects rather than volumes moved. Gas distribution and storage holds several utilities and derives its moatiness from regulatory protection. The US utilities are moaty, while the Canadian utility has realized lower returns due to regulatory challenges. As roughly half of the transmission business is in the US today and will be receiving 70% of the segment's capital spending, we see a moat forming as that business becomes the largest share of earnings.

Liquids Pipelines Earns a Narrow Moat

The liquids pipelines segment contains the critical Mainline Pipeline system, responsible for moving about 75% of Canada's crude exports, linking producers to US refineries. Refiners have optimized their facilities to process Canada's heavy crude as opposed to American light oil produced in shale regions. As such, the segment is deeply embedded into the infrastructure responsible for powering American industry and homes. Regulatory challenges in building new pipelines connecting the US and Canada have prevented new entrants, specifically Keystone XL, which enhances the moat of this critical asset.

While 65% of segment profits are derived from the Mainline and regional systems in Canada, lines connecting the US Midcontinent region and US Gulf Coast provide the remainder. The Gulf Coast and Midcontinent assets represent the terminus of the network and include pipelines linking the Permian and oil hubs to the Gulf Coast refining hubs. Finally, the Enbridge Ingleside Energy Center is a crude marine terminal responsible for one quarter of US crude exports. Since the international oil price benchmark, Brent, is consistently higher than US prices, the terminal incentivizes customers to ship on Enbridge's network due to its variety of potential destinations.

While the Mainline has commodity risk exposure, it also has limited competition due to its scale and regulatory protection, providing greater earnings certainty. The price charged is currently governed by a cost-of-service methodology, approved by regulators, allowing 11% to 14.5% returns on equity, assuming a 50% equity capital structure. These tolls flex up or down, with make-up charges and discounts assessed to ensure the returns are maintained and balance the interests of shippers and Enbridge. In effect, this means that as long as oil is being produced, the returns for the Mainline are consistent.

The only major competitor is the Trans Mountain Pipeline, which delivers Canadian crude for export on Canada's west coast. However, moving crude on Trans Mountain has been less competitive as high fees and lower capacity meant that Enbridge's Mainline has remained fully booked. Enbridge expects the new expansion for the Mainline will be completed in 2028, which highlights its enduring strength.

In 2026, political shifts in Venezuela opened the US market to Venezuelan crude that had been a fierce competitor up until the early 2010s. If barrels come back in force, it could pressure upstream producers' margins, but the Mainline earns under a cost of service framework limiting the direct threat to

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Enbridge.

Gas Transmission Earns a Narrow Moat

Gas transmission's moat is the result of its strong, multidecade contracts with investment-grade counterparties and difficult-to-replicate network. In 2024, 97% of EBITDA was tied to take or pay or regulated revenue under cost-of-service frameworks providing a high degree of certainty in returns. The basins connected by the network are estimated by Rystad to contain 65% and 95% of remaining natural gas resources in the US and Canada, respectively.

Natural gas transmission involves moving molecules across state and national borders, delivering to regional utilities, power plants, or liquefied natural gas, or LNG, export facilities. The assets are protected by contracts where consumers reserve capacity to ensure they can maintain power or service. These customers are strong investment-grade counterparties who can pass most costs on to customers, providing stable returns. So, while projected returns are only marginally above firmwide cost of capital, we have high confidence in Enbridge's ability to realize those returns.

Gas transmission's financial performance is substantially divorced from volumes moved on the pipelines. Tolls charged to customers are variable, but most revenue is generated under long-term cost-of-service contracts. These fees must be paid, even if no gas is drawn. Additional fees apply based on how much gas is transported, stored, or drawn from storage. These agreements tend to last at least a decade, with anchor agreements for new builds and LNG supply arrangements lasting up to 20 years. A second contract type, interruptible transmission, allows the customer to utilize any spare capacity that happens to be available but can be interrupted if needed to serve firm service clients.

Furthermore, the border-spanning nature of the most significant pipelines also grants a degree of regulatory protection as new builds must undergo substantial development timelines and costs. Stakeholders also play a role in supporting the moatiness of the assets. Regulators and stakeholders in the US Northeast and British Columbia have been extremely hostile to new developments. The US Northeast in particular holds a reputation as a pipeline graveyard. Despite supply constraints, new transmission pipelines that serve just the New York and Boston metro areas remain highly unlikely. New York passed a law in 2019 requiring 70% renewable energy by 2030 and 100% non-fossil-fuel electric grid by 2040, which has served as the basis of activist challenges to new projects. In British Columbia, the network is much smaller. However, since nearly all production growth is meant for export, we think a new-build transmission pipeline remains unlikely as local demand is served several times over.

Gas Distribution and Storage Earns Narrow Moat

This segment boasts a collection of regional utilities across the US and Canada. It serves Canada's

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Ontario and Quebec provinces in addition to markets in North Carolina, Ohio, and a clutch of states in the Rockies. Utilities exhibit many characteristics of wide-moat businesses, namely regional monopolies, but are regulated by the government to prevent exploitation of market power. This caps the returns on investment and limits rate increases, but protects earnings, giving us confidence in the moat. After acquiring three regional US utilities from Dominion in 2024, the segment is about half legacy Canada and half US by EBITDA.

While the Canadian assets are critical as the franchise is Canada's largest natural gas distributor, they also produce lower returns on invested capital. For the average utility to justify a moat, its return on equity usually approaches 10%, assuming a 50% equity capital structure. Current rates are based on a 9.2% allowed return on equity and 38% equity capital structure with the ability for an additional 100 basis points before sharing returns with rate payers.

We believe the former Dominion assets have a narrow moat. Crucial to determination is higher allowed equity thickness and returns on equity. Details vary between the entities but generally are allowed greater than 10% returns on equity and 50% equity structure.

Renewable Energy Earns No Moat

Renewable energy projects can offer attractive returns with tax credits and often have lower all-in costs than other generation sources because they don't require fuel. The renewable energy projects are also among the most expensive, with the company estimating capital investment to EBITDA in the midteens, though long-term power purchasing agreements enable greater certainty of returns. As the segment is a small portion of the overall business, we don't see it threatening Enbridge's overall moat.

Fair Value and Profit Drivers Adam Baker, Equity Analyst, 17 Feb 2026

Our fair value estimate is CAD 66 after incorporating fourth-quarter results and newly announced projects.

Our forecast anticipates adjusted EBITDA of CAD 20.5 billion and CAD 21.7 billion in 2026 and 2027, respectively. This translates to distributable cash flow of CAD 5.72 and CAD 6.15 per share, respectively.

The gas transmission segment should realize growth through new projects entering service along with incremental rate increases. In the near term, the most significant will be the Tennessee Ridgeline and T-North Expansions, with an in-service date of 2026. In the medium term, Canadian assets will be receiving the bulk of capital as Woodfibre LNG and the Westcoast expansions will come into service in 2027 and 2028.

We expect utility operations will grow through new projects and rate recovery along with rate increases to account for changes in operating costs. Through 2027, both the Canadian and US assets will be the

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recipients of general growth capital.

Risk and Uncertainty Adam Baker, Equity Analyst, 17 Feb 2026

We assign a Morningstar Uncertainty Rating of Medium to Enbridge. Enbridge is almost entirely structured around cost-of-service operations or regulated activities.

We think the liquids segment, which contributes half of EBITDA, has more risk and uncertainty than Enbridge's other segments. While many of Enbridge's assets are crucial to the Canadian oil sector, tolls are subject to government approval. A shift in strategy when the current agreement expires in 2028 could materially impact value. Further, while non-Mainline activity is a minority of the segment's profits, there is the potential for declining tolls given the mature market and routes with spare capacity, such as Permian to the Gulf Coast.

Government policy in Canada could also impact crude oil production more generally. A carbon tax is currently ramping up in Canada through 2030. As oil sands, Canada's largest oil product, are among the most carbon-intensive, there could be a negative impact on production.

Further, the Canadian government is actively exploring alternatives to the American market. Trade tensions with the US have highlighted a critical weakness for the sector, as the vast majority of production is sent south to the US. Policymakers may subsidize competitors or expansions that connect to the global markets.

Capital Allocation Adam Baker, Equity Analyst, 17 Feb 2026

We assign Enbridge a Standard Capital Allocation Rating. While both investments are fair and distributions to shareholders are appropriate, debt remains elevated, which prevents us from awarding a higher rating.

From a quantitative perspective, the debt load is quite high. Further, Enbridge's long-term target of 4.5-5.0 times debt/EBITDA is still too high, making any upgrade from us unlikely. Mitigating high debt levels is a balanced maturity profile, with 80% of the debt due in more than three years. We believe Enbridge can support the debt and are not concerned that it will pose a risk or prevent reinvestment in the business.

The tendency to engage in large acquisitions leaves the firm vulnerable to overpayment. The best performing midstream firms can utilize their asset platform to build incrementally rather than buy, which generally offers the best returns.

Finally, we view capital returns to shareholders as healthy and maintainable. We think Enbridge's dividends have a clear pathway to grow 3% per year over the next five years.

Analyst Notes Archive

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Enbridge Earnings: Mainline Optimization Plan Adds New Phase Adam Baker,Equity Analyst,10 Nov 2025

Enbridge missed FactSet estimates for earnings per share by 11%. Shares traded higher in the day as guidance for distributable cashflow and EBITDA remained unchanged. It announced progress on several initiatives, but most material for investors were the developments in the liquids segment. Why it matters: New projects that move more oil south to the US and Gulf Coast with substantially existing infrastructure are clear wins. Linking the Dakota Access Pipeline to the Mainline resolves a contract cliff in 2027 while providing additional egress to Canadian producers. DAPL currently has 200 thousand-250 thousand barrels per day of spare capacity, making the proposed 250 mb/d right-sized. Before Bakken production plateaued, DAPL had expansion plans to 1.1 million barrels per day from 750 mb/d. Canadian barrels could make that a reality. The current slate allows for a total increase of 500 mb/d, or about a sixth of 2025 Mainline volumes by 2029. This will just be enough to service expected production growth through 2030, highlighting the need for more investment. The bottom line: We are increasing our fair value estimate to CAD 62 and USD 44 from CAD 60 and USD 43. More volumes flowing south is a long-term win, and to do so with existing infrastructure allows Canadian production to grow while regulators and developers consider new developments. Shares look fairly valued, trading in 3-star territory. Our narrow moat, Medium Uncertainty, and Standard Capital Allocation ratings are unchanged. Big picture: Enbridge also announced new natural gas storage projects along the Gulf Coast. Despite consistent demand growth for natural gas since 2010, storage in the US hasn't kept pace. This dynamic has resulted in greater price volatility, as supply tightness can't be addressed quickly.

Enbridge Earnings: Lower Mainline Volumes More Than Offset By Gas Transmission and Utility Segments Adam Baker,Equity Analyst,1 Aug 2025

Enbridge topped EBITDA estimates, reporting CAD 4,644 million vs CAD 4,541 million FactSet consensus estimates. Management cited favorable rate settlements and contracts in the gas transmission segment, along with colder weather bolstering the utility segment, offset by weaker Mainline volumes. Why it matters: The Mainline and liquids segment is foundational to the company's broader performance as it generates half of EBITDA. In the first quarter, the Mainline averaged 3.17 mmb/d and declined to 2.97 in the second quarter. We reduced our full-year expectations for Mainline volumes slightly as a result. We expect 96% utilization for the full year, as management cited continued apportionment on the system. Apportionment means that there is more demand for capacity than supply, indicating high utilization. The bottom line: We are increasing narrow-moat Enbridge's fair value to CAD 60 from CAD 59 and maintaining $43 after updating our model for this quarter's results. We still see full year EBITDA above the high end of guidance, but have reduced it due to our outlook on the Mainline. Separately, we increased our full-year outlook for the natural gas transmission segment, incorporated the new projects, and made several small tweaks to our model. Coming up: The US

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Enbridge Inc ENB ★★ 16 Mar 2026 21:51, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
74.28 CAD 13 Mar 2026	66.00 CAD 17 Feb 2026 14:59, UTC	1.13	162.85 CAD Bil 16 Mar 2026	Narrow	Large Value	Medium	Standard	4 Mar 2026 06:00, UTC

Supreme Court agreed to hear a case between Enbridge and the State of Michigan regarding whether federal or state courts hold jurisdiction. We think the federal courts will be more favorable to Enbridge. Michigan wants to shutter Line 5 by taking away its easement to cross under the Great Lakes due to environmental safety concerns. We do not see a shutdown as likely given the overriding economic and international concerns, but as it is a sixth of Mainline volumes, it is important to Enbridge. Regardless of the decision, Enbridge is pursuing a tunnel beneath the lake bed that will consolidate and protect the pipeline. It is under review by the Army Corps and Michigan's EGLE.

Enbridge: We Affirm Our Narrow Moat Rating; Shares Look Fairly Valued Adam Baker,Equity Analyst,18 Jun 2025

After taking a second look at Enbridge, we are affirming our narrow moat, Medium Uncertainty, and Standard Capital Allocation Ratings. We are also increasing our fair value estimate to CAD 59 from CAD 56 and to $43 from $41 after reviewing Enbridge's project pipeline and adjusting for the recent strong performance by the Mainline system. The Mainline and liquids segment as a whole remains the most decisive growth lever for the company. At just under half of our 2025 forecast EBITDA, relatively small improvements in rates or volumes can have a substantial impact. Pending rate cases in Utah and North Carolina look likely to resolve in Enbridge's favor, further boosting 2026 performance.After completing the acquisition of three US utilities, Enbridge is a diversified midstream company with many productive avenues to deploy capital. Management's focus is primarily building out gas transmission assets, with a distant second focus on utility modernization and growth programs. An expansion of the Mainline pipeline will help drive more volumes south to the US.Enbridge earns a narrow moat due to the efficient scale of its operations. More than 95% of revenue is generated under cost-of-service or rate-regulated activities. Liquids pipelines is the largest segment and dominated by the Mainline, which has substantial regulatory protection that collars returns. Gas transmission possesses both contracts and regulatory protection that result in a stable business. Finally, the gas distribution segment enjoys regulatory protection as a utility.We assign Enbridge a Standard Capital Allocation Rating. To upgrade our assessment to Exemplary, we would have to see debt ratios come down substantially. The debt load is quite high, and while the business can support it, from a quantitative perspective, the balance sheet carries a moderate risk. Returns to shareholders and investment, the other pillars of our rating, are maintainable and appropriate.

Enbridge Earnings: Guidance Affirmed as Effects of Macro Uncertainty Is Minimal Adam Baker,Equity Analyst,9 May 2025

Narrow-moat-rated Enbridge posted adjusted EBITDA that grew nearly 20% over the prior year, driven by utility assets purchased last April. Management left guidance unchanged as its low-volatility business looks resilient despite uncertainties. As a result, we are leaving our CAD 56 and $41 fair value estimates unchanged.We are encouraged by the potential change in attitudes on both sides of the

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border. Both Ottawa and Washington are signaling or implementing reforms designed to accelerate the permitting process for new developments. Since Enbridge has a substantial platform across both nations, new brownfield investment could accelerate and grow EBITDA at attractive multiples. It also retains the financial flexibility to do so without endangering the 4.5 to 5.0 times debt/EBITDA target.The natural gas segment continues to attract the most capital, and we expect that to continue as natural gas demand increases. Permian investment remains in focus as natural gas production grows even as drilling activity slows, since the older wells will produce progressively more gas as they age. The sanctioned Traverse pipeline and acquired Matterhorn interest increase Enbridge's exposure to this growth.While the near-term oil outlook in the US looks dour with producers shedding rigs, the Mainline and EIEC moved record volumes in the first quarter. Investment in Canadian liquids movement, in sharp relief to US assets, remains on track to boost volumes to the US. Mainline investment will result in a 150 thousand barrels per day(kb/d) increase by 2028. Further expansions under consideration include boosting the Express pipeline and Regional Oil Sands system by 30 kb/d and 150 kb/d, respectively. The most substantial US-focused investment is a relatively minor project expanding storage at the EIEC export facility, set to come online in 2026.

Enbridge Earnings: US Utilities Acquisition Drives Full-Year Results Andrew Bischof, CFA,Senior Equity Analyst,14 Feb 2025

Enbridge reported CAD 18.6 billion of adjusted EBITDA in 2024, up from CAD 16.5 billion in 2023 and in line with our full-year expectations.Why it matters: Acquisitions, capital investments, and higher volumes boosted results in 2024. Partially offsetting growth was CAD 3 billion of asset recycling. Management expects USD 19.4 billion-USD 20.0 billion in adjusted EBITDA in 2025. Our forecast is at the high end of the range. A key part of the growth is a full year of contributions from the acquired gas utilities and additional tuck-in acquisitions.The bottom line: We are reaffirming our CAD 56/USD 41 fair value estimate for Enbridge. Our narrow moat rating is unchanged. Enbridge trades at a 6% premium to our fair value estimate as of Feb. 14, after climbing 29% during the past 12 months. Management raised the distribution 3% to $3.77 per share, the 30th consecutive annual distribution increase. We expect similar growth through 2028.Long view: Management reaffirmed its 7%-9% annual adjusted EBITDA growth target for 2023-26. We expect annual adjusted EBITDA growth to slow to 5% from 2026-28 absent additional acquisitions. We expect additional investments nearing CAD 8 billion annually across the liquids pipeline, gas transmission, gas distribution, and renewables segments to support our growth estimate. We expect Enbridge to be at the low end of management's 4.5-5.0 debt/EBITDA target.

Enbridge Earnings: Investments Continue to Support EBITDA Growth Andrew Bischof, CFA,Senior Equity Analyst,4 Nov 2024

We are reaffirming our CAD 56 and USD 41 per share fair value estimates for Enbridge after the company reported third-quarter earnings. Our narrow moat remains unchanged.EBITDA in the third

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quarter improved to CAD 4.2 billion, up from CAD 3.9 billion in the same year-ago quarter. Management reaffirmed its full-year CAD 17.7 billion to CAD 18.3 billion of adjusted EBITDA expectations, in line with our CAD 18 billion estimate, which remains unchanged. Adjusted EBITDA growth of 7%-9% from 2023-26 remains unchanged and in line with our 8.5% estimate.Contribution from investments supported year-over-year EBITDA growth. In the quarter, Enbridge closed on Enbridge Gas North Carolina. It has now closed on all three US utility acquisitions from Dominion Energy.Across its utility portfolio in the US and Ontario, Enbridge management notes 9 GW of data center opportunities. Enbridge's portfolio of utilities is a key differentiator from its peers.Third-quarter earnings also benefited from the Tomorrow RNG and Whistler Parent JV acquisitions. Partially offsetting these benefits were the sale of Alliance and AUX Sable, increased financing costs, and share dilution to fund recent acquisitions.

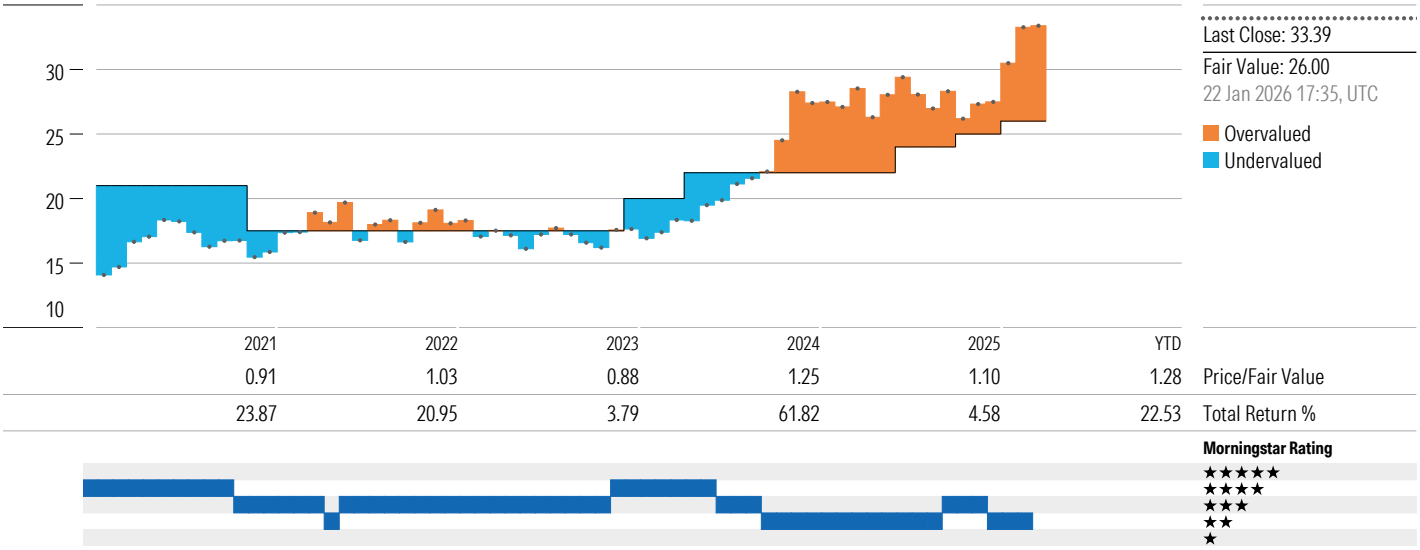
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Competitors Price vs. Fair Value

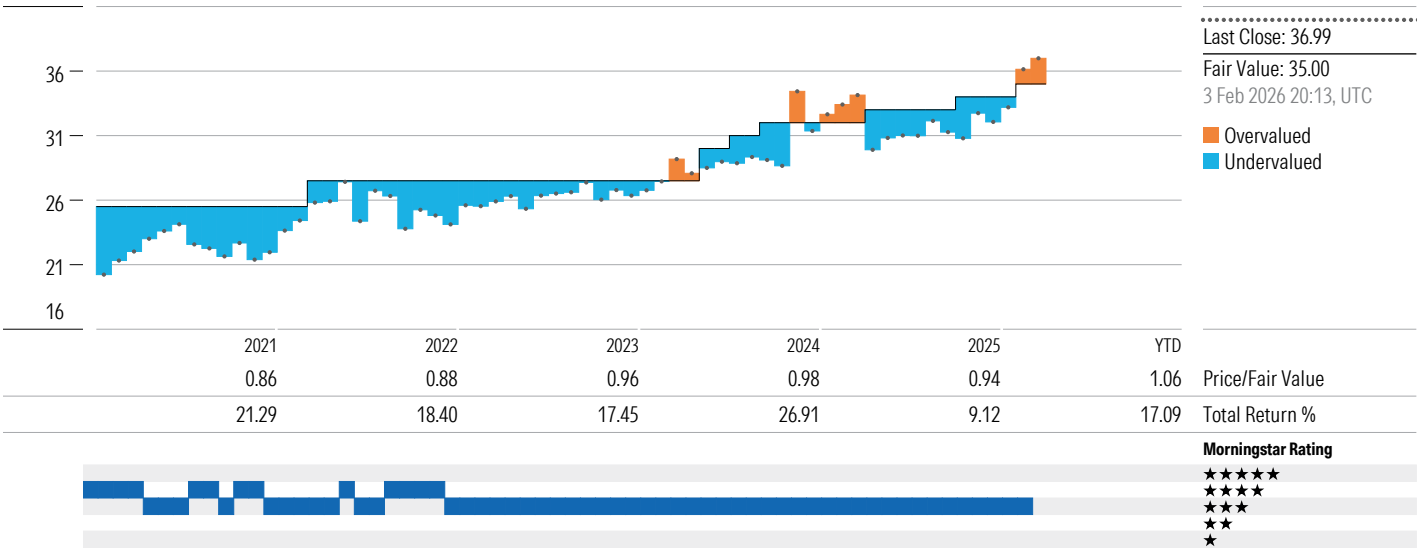
Kinder Morgan Inc Class P KMI



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.91	1.03	0.88	1.25	1.10	1.28
Total Return %	23.87	20.95	3.79	61.82	4.58	22.53

Total Return % as of 13 Mar 2026. Last Close as of 13 Mar 2026. Fair Value as of 22 Jan 2026 17:35, UTC.

Enterprise Products Partners LP EPD



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.86	0.88	0.96	0.98	0.94	1.06
Total Return %	21.29	18.40	17.45	26.91	9.12	17.09

Total Return % as of 13 Mar 2026. Last Close as of 13 Mar 2026. Fair Value as of 3 Feb 2026 20:13, UTC.

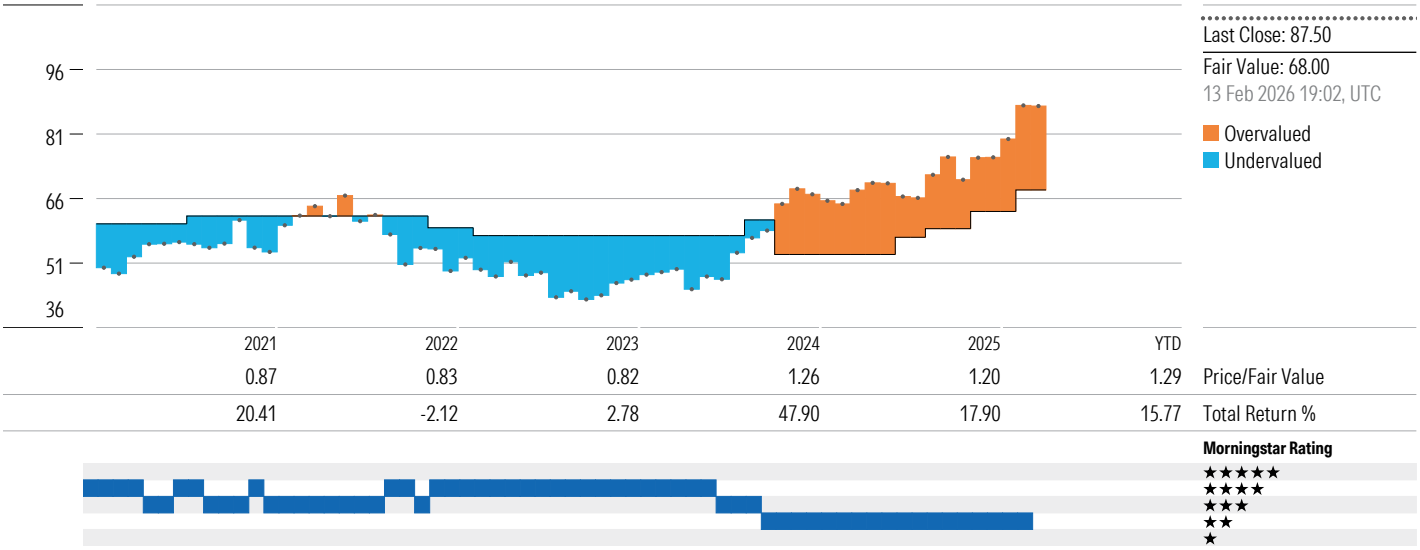
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Competitors Price vs. Fair Value

TC Energy Corp TRP



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	0.87	0.83	0.82	1.26	1.20	1.29
Total Return %	20.41	-2.12	2.78	47.90	17.90	15.77

Total Return % as of 13 Mar 2026. Last Close as of 13 Mar 2026. Fair Value as of 13 Feb 2026 19:02, UTC.

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Morningstar Valuation Model Summary

Financials as of 15 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Revenue (CAD Mil)	43,649	53,473	65,194	56,678	59,746	63,220	64,127	65,050
Operating Income (CAD Mil)	8,651	9,649	10,958	14,598	15,567	16,872	17,249	17,634
EBITDA (CAD Mil)	16,304	16,885	20,477	20,542	21,749	23,115	23,493	23,877
Adjusted EBITDA (CAD Mil)	16,454	18,620	19,952	20,542	21,749	23,115	23,493	23,877
Net Income (CAD Mil)	5,839	5,053	7,072	6,717	7,300	8,164	8,443	8,728
Adjusted Net Income (CAD Mil)	5,743	6,037	6,578	6,717	7,300	8,164	8,443	8,728
Free Cash Flow To The Firm (CAD Mil)	7,270	-5,457	-106	6,425	7,872	11,295	13,409	15,242
Weighted Average Diluted Shares Outstanding (Mil)	2,058	2,158	2,180	2,183	2,183	2,184	2,184	2,185
Earnings Per Share (Diluted) (CAD)	2.84	2.34	3.24	3.08	3.34	3.74	3.87	3.99
Adjusted Earnings Per Share (Diluted) (CAD)	2.79	2.80	3.02	3.08	3.34	3.74	3.87	3.99
Dividends Per Share (CAD)	3.54	3.65	3.77	3.88	4.00	4.12	4.24	4.37

Margins & Returns as of 15 Feb 2026

	3 Year Avg	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	23.8	19.8	18.0	16.8	25.8	26.1	26.7	26.9	27.1	26.5
EBITDA Margin %	—	37.4	31.6	31.4	36.2	36.4	36.6	36.6	36.7	—
Adjusted EBITDA Margin %	—	37.7	34.8	30.6	36.2	36.4	36.6	36.6	36.7	36.5
Net Margin %	11.3	13.4	9.5	10.9	11.9	12.2	12.9	13.2	13.4	12.7
Adjusted Net Margin %	11.5	13.2	11.3	10.1	11.9	12.2	12.9	13.2	13.4	12.7
Free Cash Flow To The Firm Margin %	2.1	16.7	-10.2	-0.2	11.3	13.2	17.9	20.9	23.4	17.3

Growth & Ratios as of 15 Feb 2026

	3 Year CAGR	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	6.9	-18.1	22.5	21.9	-13.1	5.4	5.8	1.4	1.4	0.0
Operating Income Growth %	28.4	67.1	11.5	13.6	33.2	6.6	8.4	2.2	2.2	10.0
EBITDA Growth %	20.1	35.4	3.6	21.3	0.3	5.9	6.3	1.6	1.6	3.1
Adjusted EBITDA Growth %	8.7	5.9	13.2	7.1	3.0	5.9	6.3	1.6	1.6	3.7
Earnings Per Share Growth %	36.5	122.4	-17.5	38.5	-5.1	8.7	11.8	3.4	3.3	4.3
Adjusted Earnings Per Share Growth %	36.5	-0.5	0.3	7.9	2.0	8.7	11.8	3.4	3.3	4.3

Valuation as of 15 Feb 2026

	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
Price/Earning	17.1	21.8	21.7	24.2	22.3	20.0	19.3	18.7
Price/Sales	2.3	2.5	2.2	2.9	2.7	2.6	2.5	2.5
Price/Book	1.6	2.0	2.3	2.7	2.8	2.8	2.8	2.9
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	11.1	12.5	12.7	13.3	12.6	11.8	11.7	11.5
EV/EBIT	21.2	24.2	23.0	18.8	17.6	16.2	15.9	15.5
Dividend Yield %	7.4	6.0	5.7	5.2	5.4	5.5	5.7	5.9
Dividend Payout %	126.7	130.5	125.0	126.2	119.6	110.2	109.8	109.4
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 15 Feb 2026

Fiscal Year, ends 31 Dec	Actual 2023	2024	2025	Forecast 2026	2027	2028	2029	2030
ROA %	3.2	2.3	3.2	3.0	3.3	3.6	3.7	3.9
ROE %	9.1	7.3	10.7	10.5	11.6	13.2	13.8	14.4
ROIC %	6.7	7.0	6.9	6.9	7.1	7.5	7.6	7.8

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	44.5	43.4	42.3	43.1	43.6	43.9	43.5	43.2
Assets/Equity	2.8	3.2	3.3	3.4	3.6	3.7	3.7	3.7
Net Debt/EBITDA	4.6	5.9	5.1	5.3	5.3	5.0	4.9	4.8
Total Debt/EBITDA	4.9	5.5	5.3	5.4	5.3	5.1	5.0	4.9
EBITDA/ Net Interest Expense	4.3	4.2	4.0	4.1	4.2	4.4	4.4	4.5

Forecast Revisions as of 17 Feb 2026	2026		2027		2028	
Prior data as of 10 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	66.00	61.79	—	—	—	—
Revenue (CAD Mil)	56,678	55,734	59,746	57,248	63,220	60,467
Operating Income (CAD Mil)	14,598	14,110	15,567	14,634	16,872	15,806
EBITDA (CAD Mil)	20,542	20,052	21,749	20,813	23,115	22,109
Net Income (CAD Mil)	6,717	6,340	7,300	6,818	8,164	7,559
Earnings Per Share (Diluted) (CAD)	3.08	2.91	3.34	3.13	3.74	3.47
Adjusted Earnings Per Share (Diluted) (CAD)	3.08	2.91	3.34	3.13	3.74	3.47
Dividends Per Share (CAD)	3.88	3.76	4.00	3.87	4.12	3.99

Key Valuation Drivers as of 15 Feb 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	5.8
Long-Run Tax Rate %	23.0
Stage II EBI Growth Rate %	2.0
Stage II Investment Rate %	20.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 15 Feb 2026

	CAD Mil
Present Value Stage I	44,928
Present Value Stage II	70,856
Present Value Stage III	132,331
Total Firm Value	**248,116**
Cash and Equivalents	1,177
Debt	105,024
Other Adjustments	0
Equity Value	**144,269**
Projected Diluted Shares	2,183
Fair Value per Share (CAD)	**66.00**

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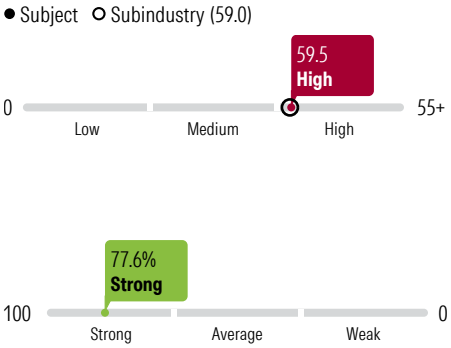
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ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	59.5
– Manageable Risk	52.5
Unmanageable Risk[2]	**7.0**
Management	
Manageable Risk	52.5
– Managed Risk[3]	40.7
Management Gap[4]	**11.7**
Overall Unmanaged Risk	**18.8**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 77.6% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Mar 04, 2026. Highest Controversy Level is as of Mar 08, 2026. Sustainalytics Subindustry: Oil & Gas Storage and Transportation. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 04 Mar 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure	Management	ESG Risk Rating
Enbridge Inc	59.5 | High	77.6 | Strong	18.8 | Low
Enterprise Products Partners LP	58.1 | High	23.0 | Weak	46.4 | Severe
TC Energy Corp	62.2 | High	62.6 | Strong	27.8 | Medium
Baytex Energy Corp	78.7 | High	48.7 | Average	46.3 | Severe
Kinder Morgan Inc	57.2 | High	73.4 | Strong	20.1 | Medium

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Appendix

Historical Morningstar Rating

Enbridge Inc ENB 15 Mar 2026 09:53, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★	★★	★★★	★★★	★★★	★★	★★	★★	★★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★

Kinder Morgan Inc Class P KMI 15 Mar 2026 09:47, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★★	★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★

Enterprise Products Partners LP EPD 15 Mar 2026 09:41, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	—	★★★	★★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
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Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★

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TC Energy Corp TRP 15 Mar 2026 09:50, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★★	★★★	★★★	★★★	★★★★	★★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

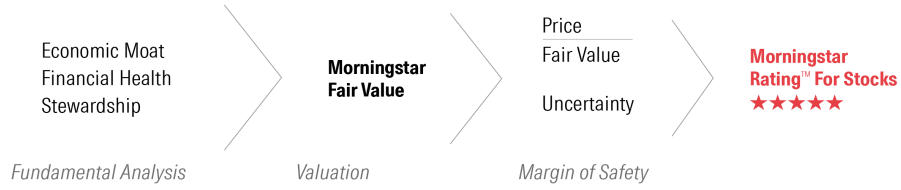
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

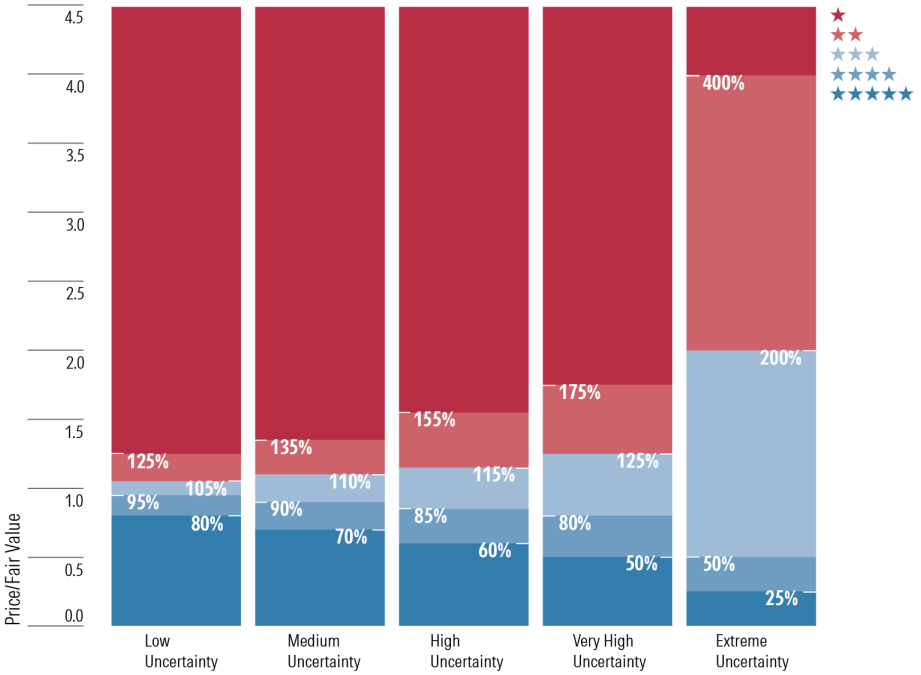
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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